

25STCP03998 25STCP03998

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Case Number: 25STCP03998 Hearing Date: July 9, 2026 Dept: 834

Superior Court of California

County of Los Angeles

Department 834

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MLT II,

A LIMITED LIABILITY COMPANY,

Petitioner(s),

vs.

CITY OF LOS ANGELES,

Respondent(s).

Case No.:

25STCP03998

Hearing Date:

July 9, 2026

[TENTATIVE] RULING ON PETITION

FOR WRIT OF MANDATE

MLT II, a Limited Liability Company ("Petitioner") petitions for a writ of administrative mandate against respondent City ("Respondent") directing it to set aside its decision to place the property at 3949 W. Los Feliz Blvd., Los Angeles, CA 90027 ("Property") into the Rent Escrow Account Program ("REAP").

The petition for writ of mandate is denied.

I.

Factual Background

In March 2023, Respondent's Housing Department ("LAHD") inspected the Property and found eleven violations, including illegal construction, exposed electrical wiring, inoperable fire doors, and debris accumulation. (AR 2425, 5228.) LAHD then issued an Order to Comply. (AR 12.) LAHD reinspected the Property on July 31, 2023, and found seven violations uncorrected. (AR 12.)

On June 17, 2024, LAHD issued Petitioner a Notice of Failure to Comply listing the remaining seven violations and advising Petitioner the Property may be referred to REAP. (AR 66-68.)

On April 3, 2025, LAHD issued a written decision to accept the Property into REAP and a 50% rent reduction applied to all units on the Property. (AR 81-85.)

On May 7, 2025, LAHD conducted an automatic General Manager ("GM") Hearing for the Property's entry into REAP. (AR 74, 5228.) At the hearing, LAHD Inspector Lee Miller ("Miller") testified that four violations remained uncorrected. (GM Hearing Transcript at 5-6.)

On May 12, 2025, GM Hearing Officer Andre Brown ("Hearing Officer") issued a written decision rejecting the appeal, affirming acceptance of the Property into REAP, finding that violations remained uncorrected. (AR 115-21.)

On May 27, 2025, Petitioner appealed the GM Hearing decision to the Rent Adjustment Commission ("RAC") Appeals Board ("Board"). (AR 4094, 5232-33.) The Board modified the GM

Hearing decision to reflect that only four violations still remained as testified by Miller, but otherwise upheld the decision. [1] (AR 5633)

II.

Procedural History

On October 14, 2025, Petitioner filed its petition. A proof of service filed October 23, 2025 shows Petitioner served the summons and petition on Respondent by personal service on October 17, 2025. On December 19, 2025, Petitioner filed its first amended petition. Proofs of service filed January 28, 2026 show that Petitioner served Real Parties in Interest (“RPIs”) [2] each with the petition by personal service, posting on the RPIs’ unit door, or substituted service on December 29, 2025. On January 13, 2026, Respondent filed its answer to the petition.

At the February 5, 2026 trial setting conference, Petitioner’s counsel indicated his intention to move for augmentation of the administrative record. The Court, apart from staying Petitioner’s 1983 cause of action, ordered the matter set for trial and provided a hearing date and briefing schedule.

On March 24, 2026, the Court signed the parties’ joint stipulation to adjust the briefing schedule, making the opening brief due on or before May 8, 2026; the opposition, on or before June 9, 2026; and the reply on or before June 18, 2026.

In keeping with the Court-approved joint stipulation, on May 8, 2026, Petitioner filed its opening brief.

Respondent served its opposition on Petitioner on June 9, 2026. However, due to a series of clerical errors, Respondent did not file its opposition until June 16, 2026, and that filing was not the finalized version. (Walford Decl., ¶¶ 2-3.) Respondent subsequently filed a corrected opposition on June 30, 2026. (Walford Decl., ¶ 7.) The corrected filing is identical to the version served on Petitioner on June 9, 2026, except for a corrected case number in the caption. (Walford Decl., ¶ 7.)

The Court exercises its discretion to consider both the opposition and the reply. The Court denies Petitioner’s request to strike

Respondent's opposition brief due to the June 16, 2026 filing irregularities, as the corrected opposition filed June 30, 2026 is substantively identical to the version served on Petitioner and presents no prejudice.

III.

Standard of Review

Code of Civil Procedure ("CCP") section 1094.5 is the administrative mandamus provision that structures the procedure for judicial review of adjudicatory decisions rendered by administrative agencies. (*Topanga Ass'n for a Scenic Community v. County of Los Angeles* (1974) 11 Cal.3d 506, 514-15 ["Topanga"].) Section 1094.5 does not specify which cases are subject to independent review, leaving that issue to the courts. (*Fukuda v. City of Angels* (1999) 20 Cal.4th 805, 811 ["Fukuda"]). In cases reviewing decisions that affect a vested, fundamental right, the trial court exercises independent judgment on the evidence. (*Bixby v. Pierno* (1971) 4 Cal.3d 130, 143 ["Bixby"]; see CCP § 1094.5(c).)

An agency is presumed to have regularly performed its official duties (Evid. Code § 664), and the petitioner therefore has the burden of proof on mandamus. (*Steele v. Los Angeles County Civil Service Commission* (1958) 166 Cal.App.2d 129, 137.) "[T]he burden of proof falls upon the party attacking the administrative decision to demonstrate wherein the proceedings were unfair, in excess of jurisdiction or showed prejudicial abuse of discretion." (*Alford v. Pierno*, (1972) 27 Cal.App.3d 682, 691 ["Alford"].)

IV.

Evidentiary Matters

1.

Request for Judicial Notice

Respondent seeks judicial notice of (1) Los Angeles Municipal Code ("LAMC") section 161.1004 and 162.00-162.13 (RJN Ex. 1); and (2) Rent Adjustment Commission Regulations ("RAC Regs.") sections 1200.00-1200.16 (RJN Ex. 2). The requests are granted. (Evid. Code § 452(c).)

2.

Evidentiary Objections

Respondent objects to the Declaration of May Ling Yu (styled “Declaration of MLT II”) and an LAHD worklog pertaining to the Property (“Worklog”). Respondent asserts both are extra-record evidence not appropriate in an administrative mandamus action under CCP section 1094.5. The objections are sustained. [3]

V.

Analysis

Petitioner seeks an order setting aside Respondent’s decision to place the Property into REAP. Petitioner argues that (1) Petitioner did not receive a fair hearing; (2) the findings were not supported by the evidence; and (3) the decision constituted an excessive fund under the Eighth Amendment to the United States Constitution.

1.

Petitioner Received a Fair Hearing

The Court reviews fairness of the administrative proceeding *de novo*. (*Nasha v. City of Los Angeles* (2004) 125 Cal.App.4th 470, 482, 22 Cal.Rptr.3d 772.) “The statute’s requirement of a “fair” trial means that there must have been ‘a fair administrative hearing.’” (*Gonzalez v. Santa Clara County Dept. of Social Services* (2014) 223 Cal.App.4th 72, 96, 167 Cal.Rptr.3d 148.) The question whether the trial was “fair” encompasses pre-hearing and post-hearing events or procedures affecting the due process requirements of adequate notice and a meaningful opportunity to be heard. (See *Vollstedt v City of Stockton* (1990) 220 Cal.App.3d 265, 273.) Under Government Code section 11513(b), each party has the right to call and examine witnesses, cross-examine opposing witnesses, and impeach any witness regardless of which party called the witness.

The trial court’s independent evaluation of the fair trial issue is not a trial *de novo*; the court renders its independent judgment based on the record. (*City of Fairfield v Superior Court*, (1975) 14 Cal.3d 768, 776.) Here, the burden is on Petitioner to show that the administrative hearing was unfair.

a.

The GM Appropriately Closed the Record

Petitioner argues it did not receive a fair hearing because the GM closed the record prematurely, therefore denying Petitioner sufficient opportunity to demonstrate a wall it built around the mailbox area ("Security Wall") was code compliant. Petitioner contends this action was despite the GM's representation that the record would remain open for ten days after the GM Hearing (Pet. Op. Br. at 4-5, citing GM Hearing Transcript at 48:1-4) and a violation of the law (Pet. Op. Br. at 10).

In opposition, Respondent argues that the GM did not prematurely close the record. Specifically, Respondent argues that the Hearing Officer never promised to keep the record open, but rather the LAHD advocate proposed keeping the record open. (Opp. at 11, citing GM Hearing Transcript at 48:1-4.) Respondent further argues that RAC Regulations section 1200.09 required the GM to issue a written decision within ten days. (RAC Regs. § 1200.09.) Respondent contends that, even had the GM held the record open for ten more days, Respondent had not resolved the violations within that timeframe. (Opp. at 11, citing AR 4096-106.) Finally, Respondent argues Petitioner waived the issue by failing to raise the matter before the Board.

Petitioner does not address the matter on reply.

Respondent accurately characterizes the events of the GM Hearing. The transcript reflects that it was the LAHD advocate, not the Hearing Officer, who proposed that the record remain open for ten days. (GM Hearing Transcript at 47:25-48:4 ["[Miller:] The Department will recommend holding the record open ten days..."].) Nothing in the transcript or the remainder of the administrative record indicates that the Hearing Officer adopted that recommendation. Moreover, as Respondent correctly notes, holding the record open for an additional ten days would have contravened RAC Regulations section 1200.09, which requires issuance of a written decision within that same period. (RAC Regs. § 1200.09.) These points are dispositive, and the Court therefore need not reach Respondent's remaining arguments.

Accordingly, Petitioner has not met its burden to show it did not receive a fair hearing due to the closure of the administrative record.

b.

Petitioner Had an Opportunity to Cross-Examine
the Inspectors

Petitioner contends that it was denied an opportunity to confront the “unidentified individual” who determined the severity level of the violations. (Pet. Op. Br. at 13.) The administrative record, however, reflects which inspectors assigned the severity levels for the violations they identified. (See, e.g., AR 60.) Petitioner therefore could have called those inspectors to testify. Petitioner has not shown any resulting due process deficiency concerning its ability to confront witnesses.

2.

The Findings Were Supported by the Evidence

Petitioner argues that the findings regarding the Security Wall—namely, that it was an unpermitted construction, a fire code violation, and that the violations had high severity—were not supported by the evidence.[4]

“Substantial evidence” is relevant

evidence that a reasonable mind might accept as adequate to support a conclusion (California Youth Authority v. State Personnel Board (2002) 104 Cal.App.4th 575, 585 [“California Youth Authority”]) or evidence of ponderable legal significance, which is reasonable in nature, credible and of solid value (Mohilef v. Janovici (1996) 51 Cal.App.4th 267, 305, n. 28). Substantial evidence can be the opinion of a single expert (Coastal Southwest Dev. Corp. v. Coastal Zone Conservation Comm’n (1976) 55 Cal.App.3d 525, 532), or opinions in a staff report (Griffin Dev. Co. v. City of Oxnard (1985) 39 Cal.3d 256, 261).

The Court considers all evidence in

the administrative record, including evidence that detracts from evidence supporting the agency’s decision. (California Youth Authority at 585.) The Court must uphold the decision unless it concludes, based on the evidence before the agency, a reasonable person could not reach the conclusion reached by the administrative agency. (Harris v. City of Costa Mesa (1994) 25 Cal.App.4th 963, 969 [“Harris”].) Where “reasonable persons may differ,” the courts will not disturb the judgment of the administrative agency. (Breakzone Billiards v. City of Torrance (2000) 81 Cal.App.4th 1205, 1246.) The Court does not weigh evidence or decide who has the better argument and must resolve reasonable doubts in favor of the findings and decision. (Topanga, supra, 11 Cal.3d at 514.)

a.

The Unpermitted Construction Finding Was
Supported by the Evidence

Petitioner contends the record does not support a finding that the Security Wall was an unpermitted construction, emphasizing that a permit application was submitted on November 5, 2024 and later finalized “at the earliest date available under LADBS’s schedule.” (Pet. Op. Br. at 8, citing AR 4098-99.)

Petitioner's own evidence, however, establishes that the Security Wall was unpermitted at the time of the GM Hearing. Under LAMC section 91.103.1, “[n]o person shall...alter any building or structure...until after a permit therefor has been obtained.” A permit application is not a permit, and construction undertaken prior to permit issuance is unpermitted as a matter of law. The undisputed record shows the permit had not issued by the May 7, 2025 GM Hearing. (Pet. Op. Br. at 8; AR 4098-4099.) Contrary to Petitioner's assertion (Reply at 5), the pendency of a permit application does not render existing work “permitted.” (LAMC § 91.103.1.)

Accordingly, substantial evidence supports the finding that the Security Wall constituted unpermitted construction.

b.

The Fire Code Violation Finding Was Supported by
the Evidence

Petitioner next argues that the record does not support a finding that the Security Wall violated the Fire Code. Petitioner relies on LADBS's notation “Permit Flag – Not a Fire Life Safety Project” on its permit application and asserts this reflects an LADBS determination that “no fire code issue was implicated.” (Pet. Op. Br. at 8-9, citing AR 4098.)

The record supports a different conclusion. Inspector Zepeda's April 27, 2023 reinspection documented multiple violations, including unpermitted construction (LAMC §§ 91.103.1, 91.106.1.1, 91.8105, 161.902), exposed electrical wiring (LAMC §§ 93.0104, 93.0201, 93.0304, 93.0314), and fire door deficiencies (LAMC §§ 91.8104, 91.906.1). (AR 65.) Inspector Miller testified that, as of May 2, 2025, these violations had not been corrected. (GM Hearing Transcript at 6-7.)

Petitioner's reply—that its permit was pending and “thus [the Security Wall] was not a violation of any code, including the fire code” (Reply at 7)—rests on a misinterpretation of both the permit application and the timing. The LADBS form Petitioner relies on is dated May 21, 2025, two weeks after the GM Hearing. (AR 4098, 5228.) And the “Permit Flag” merely reflects whether a fire/life safety plan review is required; it does not constitute an LADBS determination that the construction complies with fire safety requirements. (LAMC § 57.118.1.)

By contrast, the administrative record includes inspection reports (e.g., AR 14-25) and sworn testimony (GM Hearing Transcript at 6-8) supporting LAHD's finding that the Security Wall violated the cited LAMC provisions. Petitioner identifies no evidence undermining those findings.

c.

The High Severity Finding Was Supported by the Evidence

Petitioner contends there was “no evidence whatsoever” supporting the “high” severity rating assigned to the violations. (Pet. Op. Br. at 10.) Respondent, however, identifies inspection materials, including the documents titled Severity Level Basis, that set forth the reasoning underlying each assigned severity level. (Opp. at 9-10, citing AR 60-61.)

Those inspection materials provide specific explanations for the high severity ratings. For example, the inspector noted that exposed wiring constitutes a “potentially life-threatening condition that may cause an electrical fire, electrocution, or electric shock,” that defective fire doors “increase[] the potential for fire and smoke to spread throughout the building,” and that unpermitted construction “could include structural hazards with life-threatening conditions that compromise the integrity of the building.” (AR 61.)

Petitioner's assertion that these explanations represent a post hoc justification (Reply at 3-4) is unpersuasive. The statements appear in the administrative record as part of the contemporaneous inspection documentation and therefore constitute evidence properly considered under the substantial evidence standard.

On this record, a reasonable decisionmaker could conclude the violations warranted high severity ratings. Thus, substantial evidence supports the severity findings.

3.

The Decision Does Not Violate the Eighth Amendment

Petitioner argues that REAP rent cancellations functionally impose an \$800,000 fine for the Security Wall violation, rendering the REAP determination an excessive fine under the Eighth Amendment. Petitioner relies on *Austin v. United States* (1993) 509 U.S. 602 (“Austin”) for the proposition that when a forfeiture serves a punitive purpose, even if it also has remedial features, the forfeiture is subject to the Eighth Amendment’s prohibition on excessive fines. (Pet. Op. Br. at 14, citing *Austin* at 608-10, 613.) Petitioner contends that “it should be undisputed that rent cancellations pursuant to REAP are penalties imposed for not resolving code violations, and are thus subject to the Eighth Amendment.” (Pet. Op. Br. at 15.)

Respondent counters that REAP rent reductions are not punitive but instead constitute a regulatory mechanism adjusting rent to reflect a reduction in habitability. (Opp. at 15.) [5]

Petitioner does not address Respondent’s Eighth Amendment arguments in reply. (See Reply at p. 6.)

In *Austin*, the Supreme Court considered whether civil forfeiture of a mobile home and auto body shop used to facilitate drug transactions was subject to the Excessive Fines Clause. (*Austin*, supra, 509 U.S. at 604.) The Court held that a forfeiture is subject to Eighth Amendment scrutiny where it “can only be explained as serving in part to punish,” even if it also serves remedial purposes. (*Austin*, supra, at pp. 611-612.) In surveying traditional forfeitures, the Court observed that they have historically been justified either on the theory that the property itself is “guilty” or that owners may be properly punished for allowing unlawful use of their property. (*Id.* at 615.) The Court also noted that forfeiture historically was not imposed where the owner had done all that reasonably could be expected to prevent unlawful use. (*Id.* at 616.)

Applying those principles, the Court in *Austin* concluded that the statutory forfeitures at issue were punitive. The provisions included an “innocent owner” defense, a feature the Court found indicative of a

focus on culpability rather than remediation. (Id. at 619.) The Court further emphasized legislative history expressly identifying deterrent and punitive aims. (Ibid.) Finally, the Court rejected the government's characterization of the forfeiture as remedial, noting the forfeited property's value had "absolutely no correlation to any damages sustained by society or to the cost of enforcing the law." (Id. at 621, quoting *United States v. Ward* (1980) 558 U.S. 242, 254.)

Considering the reasoning of *Austin*, the Court finds Respondent's view more persuasive. REAP applies only where LAHD determines that rental units are "untenable." (RAC Regs., § 1200.03.) The rent reduction is calculated based on the number and severity of violations affecting habitability. (RAC Regs., § 1200.07.) It is limited both by a minimum post-reduction rent and by a maximum percentage reduction. (Ibid.) Landlords may avoid rent reductions entirely by demonstrating that reductions would jeopardize tenant health and safety. (RAC Regs., § 1200.05.) REAP entry itself is avoided if the owner corrects all violations before the GM Hearing (RAC Regs., § 1200.09(F)), and removal from REAP is achieved by resolving outstanding orders. (RAC Regs., § 1200.13.)

This framework addresses conditions that impair habitability and encourages timely correction of violations. It ties the reduction to the actual effects of violations on tenants, limits the amount of any reduction, and provides a safe harbor when compliance is reached before the GM Hearing. These aspects demonstrate a regulatory scheme measured to compensate tenants for diminished habitability and to incentivize compliance, not to punish owners irrespective of culpability.

Accordingly, the Court concludes that REAP rent cancellation is not a punishment as understood in *Austin*, and is not subject to the Eighth Amendment limitation on excessive fines.

VI.

Conclusion

The Petitioner received a fair trial, Respondent's decision is supported by substantial evidence, and the decision did not violate the Eighth Amendment. The petition for administrative mandamus is DENIED.

Pursuant to Local Rule 3.231(n), Respondent shall prepare,

serve, and ultimately file a proposed judgment.

Date:

July 9, 2026

HON. TIANA J. MURILLO

PLEASE TAKE NOTICE:

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Parties

are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

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If

a party intends to submit on this tentative ruling, the party may send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.

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Unless

all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

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If

the parties neither submit nor appear at hearing, the court may take the matter off calendar or adopt the tentative ruling as the order of the court. After the court has issued a tentative ruling, the court may prohibit the withdrawal of the matter without leave.

[1]

While this reduced the total rent reduction from 120% to 60% (AR 5633), the statutory 50% rent reduction maximum applied in either case, resulting in no functional change in the amount of the rent reduction.

[2]

Named RPIs are as follows: Michael Adair, Sam Adair, Joe Goldberger, Jan Johnson, Nicole Jean Young, Tsung-Yu Lee, Andrew Millard, William Ritter, Neal Frager, Michael Stillo, Sarah Chapman, Kevin Lopez, Nicholas Suqrue, Nathaniel Smith, Jorunn Loken, Luis Melendez, Michael Tuchman, Jaclyn Tuchman, Thomas Mayer, Josep J. Sheeman, Sepedeh Eivazi, Nico Correia, Evan Davis, Matthew Adams, Brian Shanai, Ashleyle Malyar, Youmi Oh, Christopher Spiegel, Nicholas Bianas, Siobhan Murphy, Tizita Tafa, Gretchen M. Gasteier, Julie Zerbib, Youmna Moufarrej, Ryan Workman, Raquel Daalen Wetters, Danielle Woodhead, Audrey Woodhead, Flynna Woodhead, Nina Taijssen, Samantha Lester, James Lester, Diego C. Armos, Guido Segal, Gabriela Ortega, Kelli Kuschman, Claire Waller, Sarah Waller, Daniel Marcantonio, Alysha Marcantonio, Catarina I. Marque, Zafer Ryan Bebe, Avak Bagiryants, Shushan Bagiryants, Mariyam Bagiryants, Artavazd Bagiryants, Katherine Read, Paul Miller, Jonathan Miller, Clifton J. Kester, Jamie Maloney, Hunter Bergman, Tyler Storh, David Guttman, Richard Ball, Jordan Ball, Manolin Santana, Isabella White, Cristopher La Riche, Cristal Vargas, Sevina Topalska, Isabel Vega Arellano, Kevin Royce Herman, Jose Rivera, Celeste Martinez, Stefan Rehr, Steven Chew, Joanna Iwanowice, Sara Baker, Karin Jancuk, Jake Kulat, Tracey Mathias Okada, Alyssa Mathias, Jared Criss, Brian B. Dance, Joseph A. Jasso, Brittany Allen, Jonathan Van Orne, Jarrod Parra, Andrea M. Pavlov, Renny J. Marquez, Marquez Feke, Glen Bedolfe, Caro Reid, Duban Morales, Michael Lin, Jorge Cerdo Schumann, Nikhil Mehta, Alexandra Hospodar, Jasmine Smith, Adam Strizich, Nathan Fisher, Rachel Jones, Scott Wunno, Amelia Young Victoria Raschi, Alex Weingarten, Megan Anelons, Broderick Bauman, Corey Ruppert, Daneill Ruppert, Nanad Medvidovic, Sasha Medvidovic, Matthew Bergosh, Emily Han, Akasha B. Vega, Amanda Hahn, India S. Boodram, Kelsey Barry, Matthew D. Koss, Shandton Williams, Lucina Khachik, Gianna Gasparyan, Anthony Mokuolu, Paul Pomerante, Majorie Pomerante, Jessica Pomerante, Vladimir Tikunov, Diego Mena, Grace Ritchey, Gregory Sanders, Jessica Sanders, Aidan P. Toms, Silvia D. Salem, Sofia B. Salem, Brian Thomas Marzan, Gabriela Ysabel Hernandez, Scott D. Swimmer, Matthew Adams, Jessica Wu, Fernando Toquica and Josephine Marengo, Ginny Boehme, Adaeze Njaka, Billy Joe Clark, Irma Clark, Isabelle Clark, Raquel Gutierrez, Demarcus Brown, Martin Maynard, Michael Brillstein, Mary Ellen Jorgensen, Michaela Mucha, Cora Seeiman, Blake Whitaker, Nikita J. Parel, Romina Camacho, Alexandra Thorn, Nikki Bohnett, Brenda Jackson, Salma Rojas, Gabriella Wayne, and Jurgen Hawkins.

[3]

Petitioner's ex parte application, filed on July 2, 2026, sought to advance the hearing on its Motion to Augment (filed the prior day) to July 9,

2026, the long-scheduled hearing date for the instant writ petition. The Motion to Augment requested inclusion of the Worklog in the Administrative Record. The Court granted the ex parte application, and heard and denied the Motion to Augment, on this date at the 8:30 a.m. calendar.

[4]

Respondent argues in passing that Petitioner is not permitted to challenge the contents of the Order to Comply in an appeal of a GM decision but acknowledges that the Board has authority to hear challenges to orders to comply. (Opp. at 9, 10.) It is unclear whether Respondent is raising an exhaustion, waiver, or other argument (e.g., untimeliness). Consequently, these issues are not properly raised.

[5]

Respondent also suggests, citing *Austin*, supra, 509 U.S. at 622, that rent cancellation cannot be a forfeiture because it is not paid to the government. (Opp. at 14-15.) While the court in *Austin* did refer to “payment to a sovereign as punishment for some offense” (*Austin* at 622), it did not analyze the meaning or necessity of a forfeiture being made “to the sovereign.”